

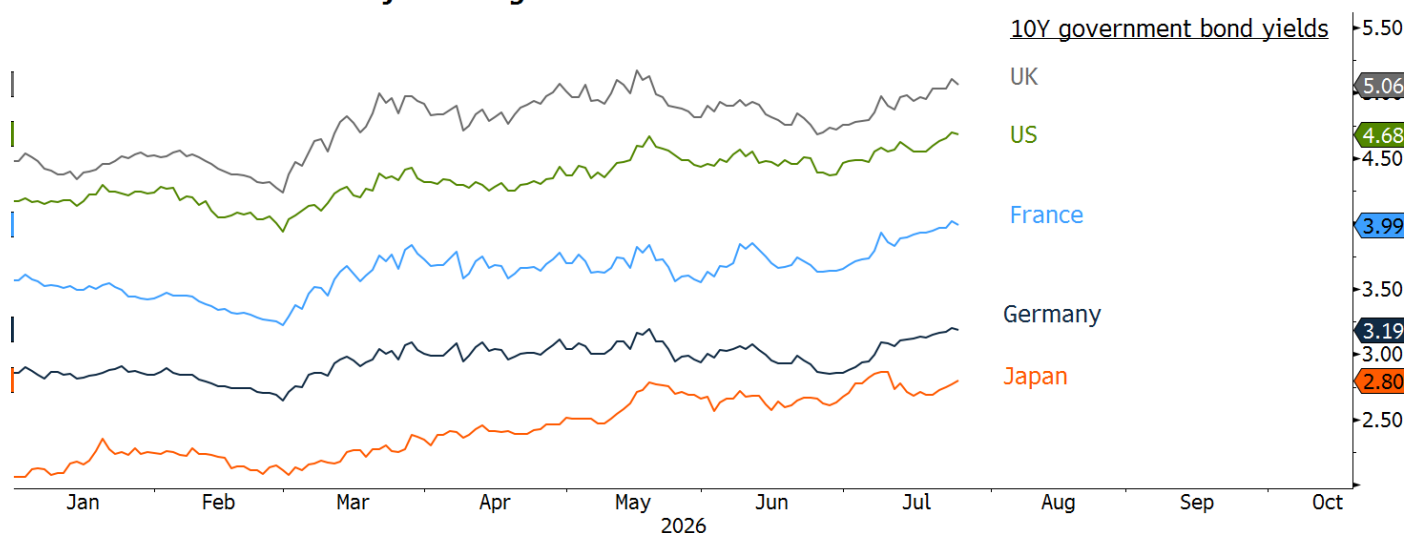
July 24th, 2026

Yielding to the summer heat...

...Will the run turn into a rout?

The dog days are nigh...

...And DM bonds are already sweating:



- Stay long 10yr UK gilts from 4.82% vs short 10yr UST from 4.43% – 1bp profit.
- Stay short French 10Y from 3.69% – 29bp profit.
- Go long DOW at 51,666 vs short US hyperscalers (custom basket) – 1.4% profit.

July 24th, 2026

1. The Fed is barking...

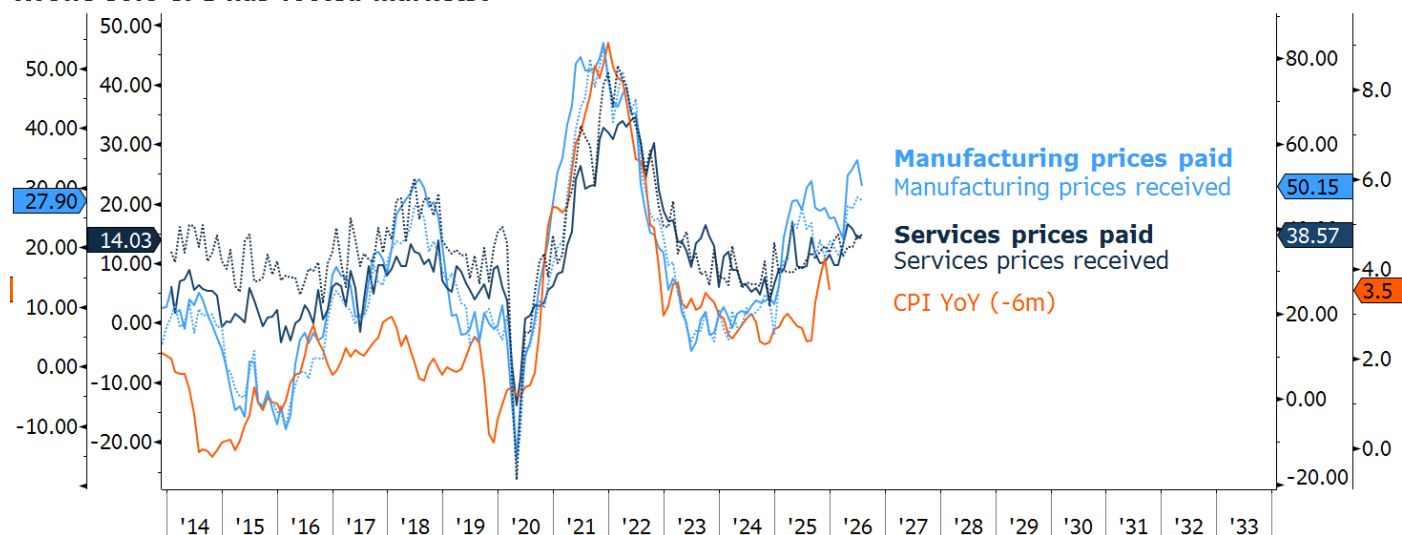
...But inflation is the one that will bite.

One soft CPI print was all it took. The market popped the champagne and declared victory over inflation. Headline down 0.4% MoM for June, core flat, and the sharpest drop in supercore since Covid – a resounding set of numbers that obliterated hopes of a Fed hike this month.

But JDI readers know a poisoned chalice when they see one. **This single, lagging inflation print has lulled the Fed into a false sense of security right when they should be tightening the reins on term premia.** Regional surveys show pressure surging through the pipeline, with output prices still catching up to inputs. The market may be tempted back into duration, but our short playbook is locked and loaded.

Hook, line and sinker...

...One soft CPI has fooled markets:



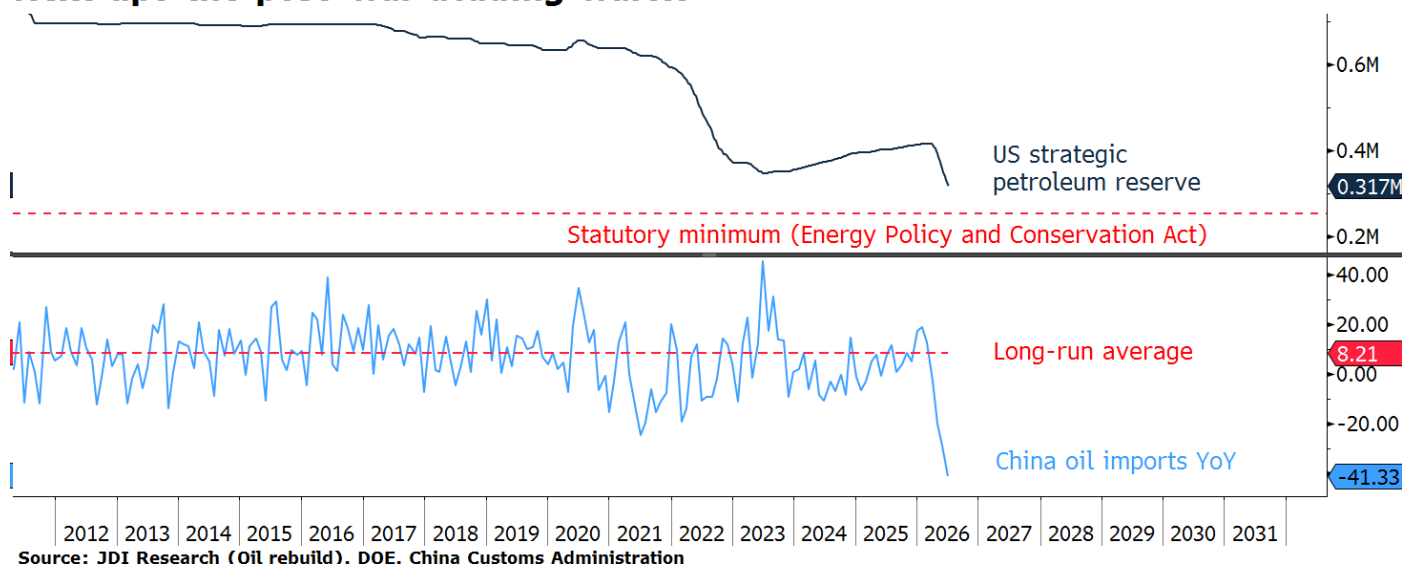
We advised in June to sell the inevitable disappointment of the US-Iran peace deal. Right on cue, the war is re-escalating and crossing previous red lines. Attacks once confined to military sites now hit bridges, nuclear facilities and desalination plants.

July 24th, 2026

The Houthis have declared a blockade of Bab el-Mandeb, carrying 7% of global oil flows. With Hormuz already impaired, a quarter of global oil and gas supply now passes through two threatened chokepoints.

And that's just the supply side. Oil is up around 35% from its 'peace deal' trough, and the post-war inventory rebuild has yet to kick in. China imports remain well off their long-term average, while the US petroleum reserve has hit its lowest since 1983. Both flows will reverse in coming months.

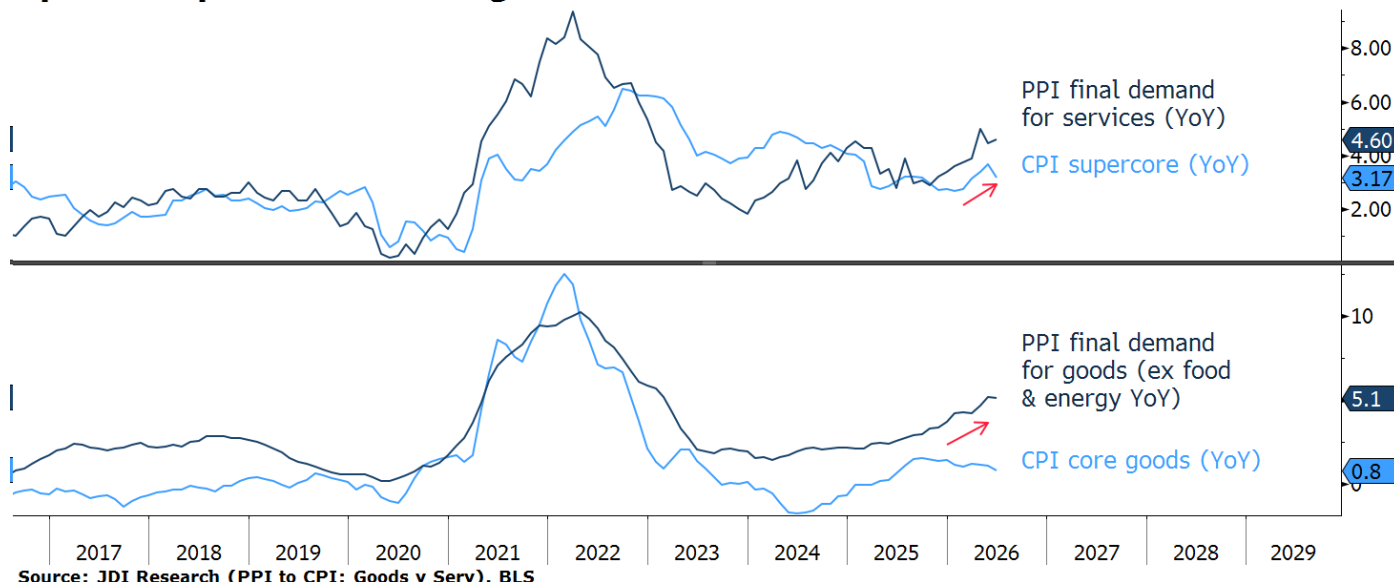
Next up: the post-war bidding war...



This second inflation shock is loading into a pipeline yet to recover from the first. Like CPI, June PPI looked benign on the surface – headline cooling from 6% YoY to 5.5%. Strip out energy, though, and the pressure is glaring:

July 24th, 2026

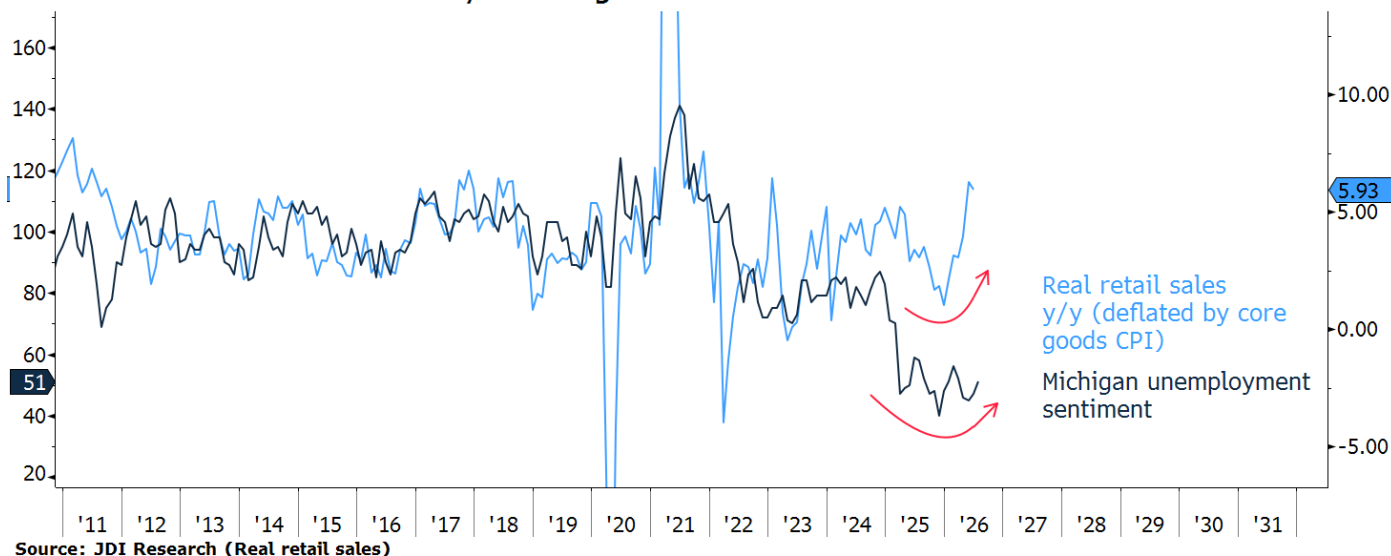
Upstream pressure across goods and services...



But the crux of our sticky inflation thesis isn't external cost-push; it's domestic demand-pull. Stabilising labour sentiment is fuelling a strong rebound in consumption, with real retail sales up from 1.03% at the beginning of the year to 5.93%:

Gainfully employed and dutifully spending...

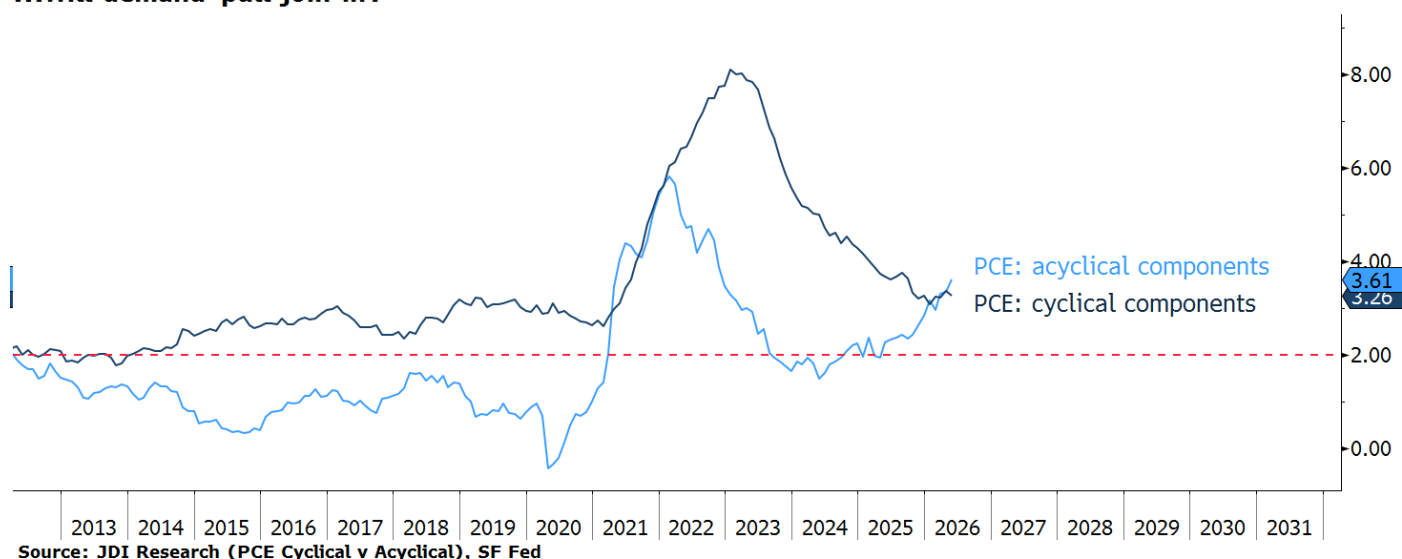
...Labour sentiment has stabilised, unlocking final demand:



July 24th, 2026

June's personal income and spending doesn't arrive until after the Fed, but BofA card data offers additional evidence. Total spending rose 6.3% YoY last month, the strongest in over four years. And with gasoline falling, the entire acceleration was a discretionary one. Visa's momentum index tells the same tale, up 0.2pts to 101.3 for a fourth straight month in expansion. That should turn inflation from an acyclical story into a cyclical one in future PCE prints:

Cost-push inflation is rising... ...Will demand-pull join in?



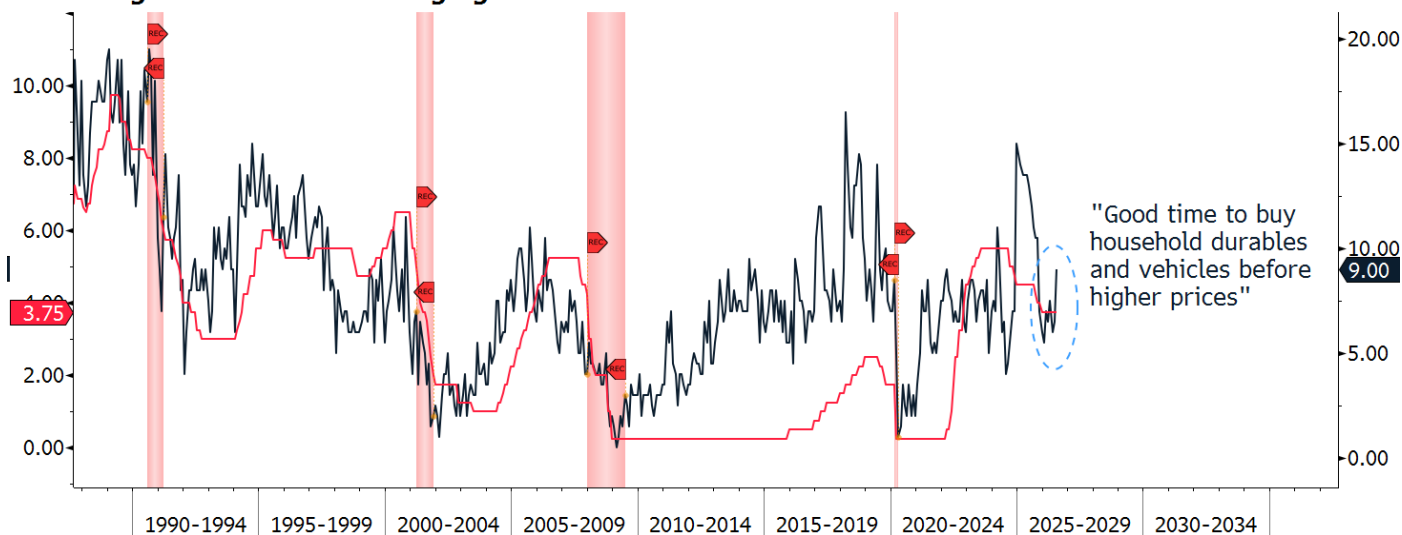
Demand is also likely to get a secondary bid from tariff frontloading. With the IEEPA tariffs struck down, the administration is throwing everything at the wall in the hope something sticks. Section 301, 232, 338 – you name it, they're trying it. After all, fiscal credibility now hangs on the revenue they generate.

The prime candidate is Section 301, which could re-inject 0.4% into the CPI gauge – or cost the average household an additional \$600 a year. That's a one-off level increase, but it's the effect on consumers that's key. **Combined with another flare-up in oil, panic-buying is kicking in again:**

July 24th, 2026

FOMO redux...

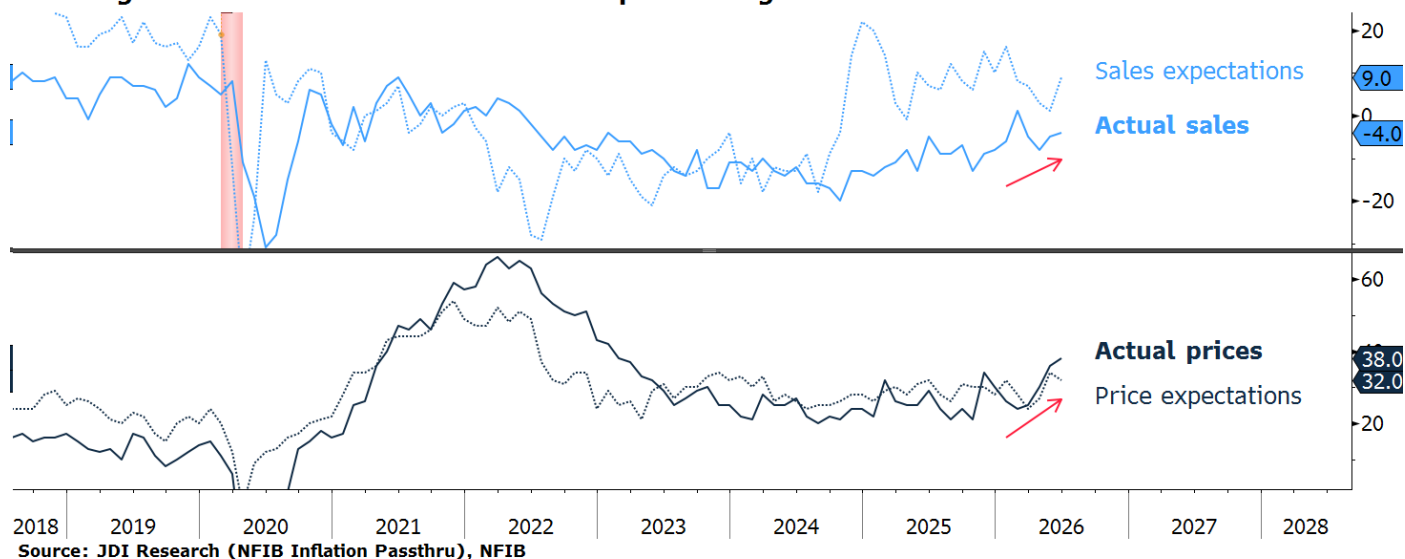
...The urge to frontload is rising again:



Small businesses are using this demand to pass through the first wave of price increases. Amid rock-solid sales and rising sales expectations, price changes are accelerating to a post-pandemic high:

All power to the price-setters...

...Strong demand allows small businesses to pass through costs:



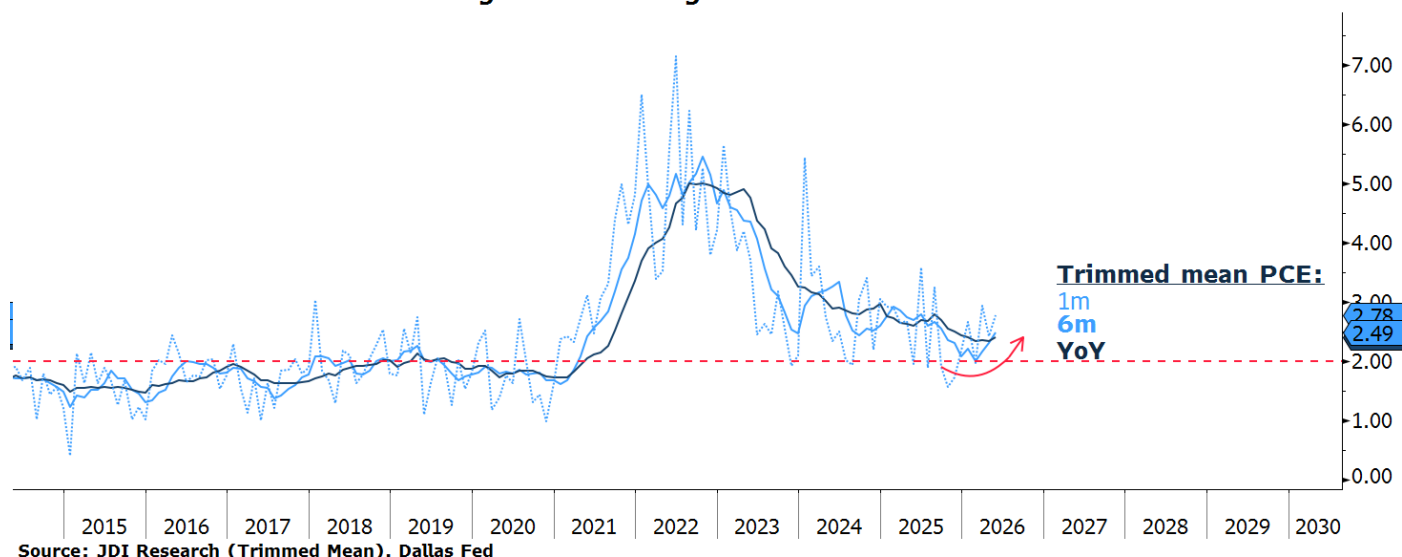
July 24th, 2026

The NFIB survey slipped under the radar amid the soft-CPI noise, but it shows pipeline pressure is only just being taken up in the most downstream parts of the economy. With business optimism up from 95.3 to 97.4 in June, hiring and capex should recover – closing the virtuous demand loop into sustained second-round inflation.

Despite all this, everyone is busy slicing and dicing inflation gauges into whatever shape flatters the dovish case – Warsh with the trimmed mean, the St Louis Fed with [ex energy goods](#), the Federal Reserve's [ex-tariffs](#) measure, even the Atlanta Fed's [sticky vs flexible](#) measure is getting coverage. But the Fed's mandate is PCE inflation of 2% over the longer run. End of. Not trimmed. Not core. Not ex this or that. The consumer can't strip out the components they don't like, and the Fed's responsibility is to protect them, not its image.

The worry for Warsh...

...Even trimmed mean is above target and climbing:

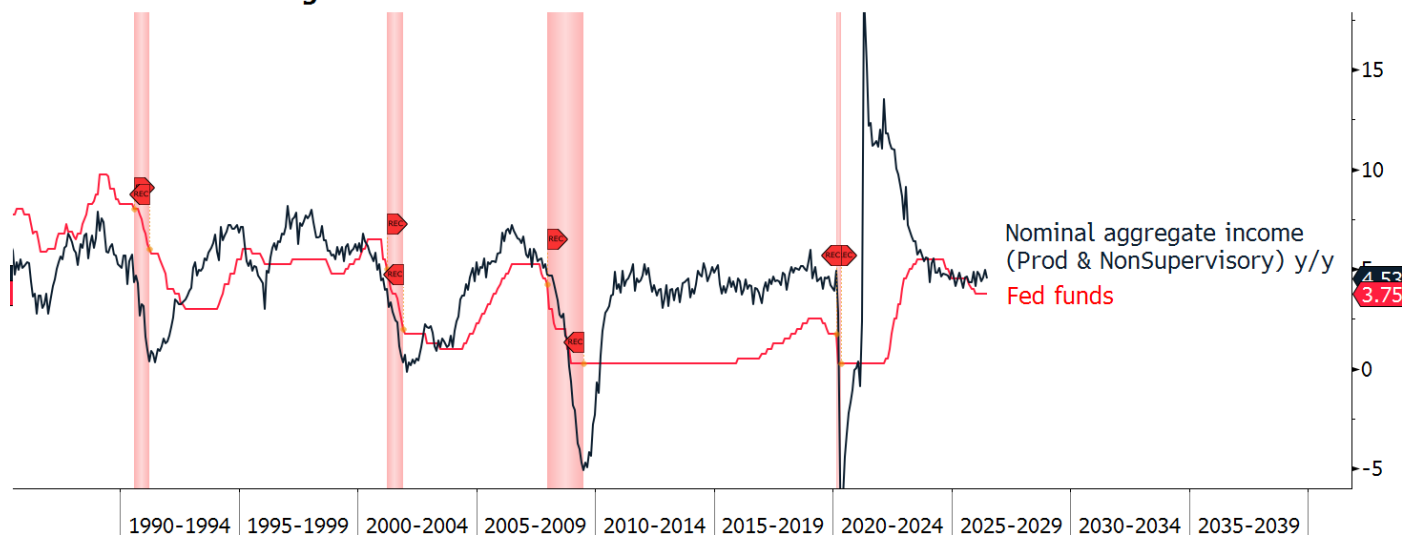


The labour market, its second mandate, also leaves plenty of scope to tighten policy. Aggregate income growth is now trending substantially above Fed funds:

July 24th, 2026

Earnings growth is what drives the Fed...

...And we are climbing above the FFR:



To his credit, Warsh admitted as much on day two of his Senate testimony: one month of imperfect data is no reason to drop the guard – not with inflation above 3% on some measures after 63 months above target. He refused to declare mission accomplished, and he was right.

The trouble is that Warsh has overdelivered on credibility – and that now risks disappointment, with the long end in the firing line.

Warsh is being read through a Druckenmiller lens: markets first, models second. The objective is not incremental tweaks to the short-term policy rate, but rather stern control of 10s and 30s, where all real borrowing happens. He does that by firmly signalling credibility – as we have seen at every public appearance since June.

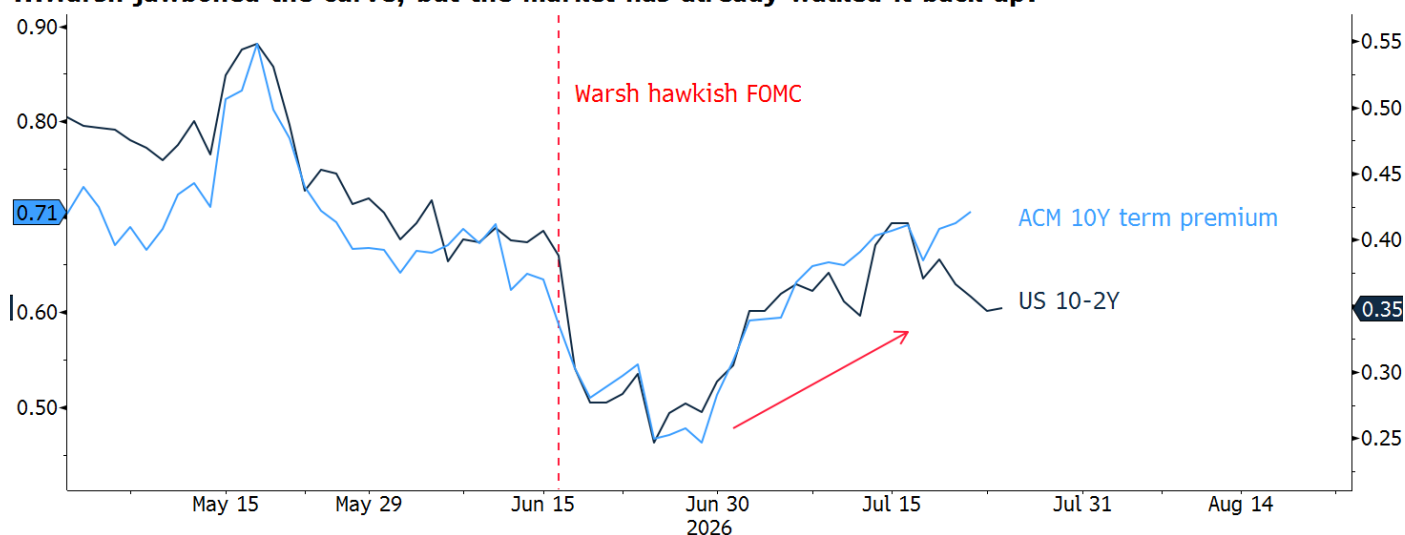
However, that also primes the market for a hawkish reaction function: inflation upside met with a forceful, front-loaded response to prevent any de-anchoring of inflation expectations and term premium. It even puts emergency or jumbo hikes on the table because, in Druckenmiller terms, lose the long end and you lose the regime.

July 24th, 2026

The constraint is that this is a narrative of intent, not institutional reality. Warsh cannot unilaterally deliver shock-and-awe policy in a divided FOMC, nor force emergency hikes or sustained hawkish sequencing. If the committee defaults to gradualism – holding in July, offering limited forward guidance – the market is left pricing the gap between rhetoric and decision-making power. That gap would do the opposite of the intent: softer credibility and fatter inflation risk premia across duration and credit.

All bark, no bite...

...Warsh jawboned the curve, but the market has already walked it back up:



Source: JDI Research (US 10-2Y)

If the Fed does walk the walk – and there's about a 30% chance of them surprising with a hike now oil has reignited – the curve will flatten, but it will be a bear flattening with the broad direction of rates still higher.

A second issue for the long end is the renewed assault on Fed independence. Trump allies are doubling down on reshaping the committee, exploring ways to remove Board members despite the Cook ruling, with Powell also a target and the Atlanta Fed vacancy another lever. Ahead of the midterms, you also have the added twist of more populist policy campaigns injecting fiscal uncertainty into the yield curve.

July 24th, 2026

Put it all together and we have every reason to stay short the US 10Y. For another angle, long inflation breakevens look attractive, having overshoot on Warsh's hawkish talk. Gold can find a tailwind, too, in a world of falling real rates and eroding Fed credibility, with \$4k locked in as support.

2. France is trapped in a fiscal pressure cooker...

...And the market is about to force a realisation.

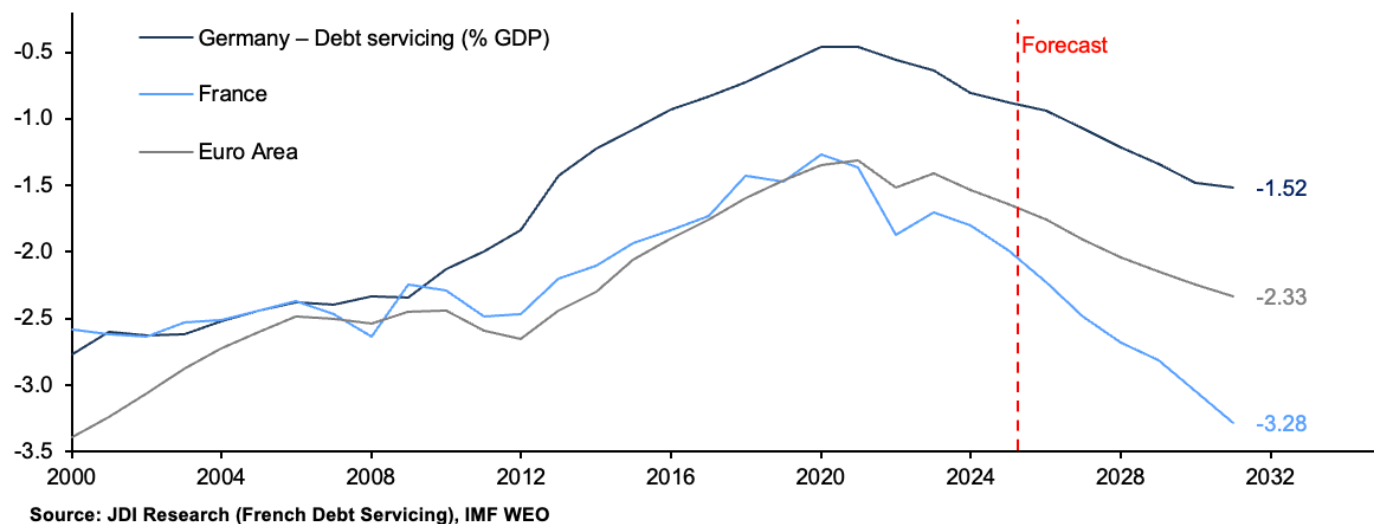
France is in dire fiscal straits. Years of unrestrained spending have left debt at 116% of GDP – well above the European average of 86% – while political gridlock prevents any reduction of its 5% deficit. It has escaped a crisis so far because the tide of easy money during the 2024-5 easing cycle suppressed yields across the euro area, France included. But it is about to discover what happens when that tide goes out.

With the labour market holding firm and inflation re-accelerating across the bloc, markets are pricing hikes and borrowing costs are rising – the broad monetary anaesthetic is wearing off. **The rates market must now differentiate on fundamentals. And with the 2027 presidential election swinging into view, France is the weakest credit in the room.**

July 24th, 2026

The monetary anaesthetic is wearing off...

...Leaving France with mounting fiscal drag:



There are three ways to solve a debt problem: growth, austerity, or financial repression. None are available to France.

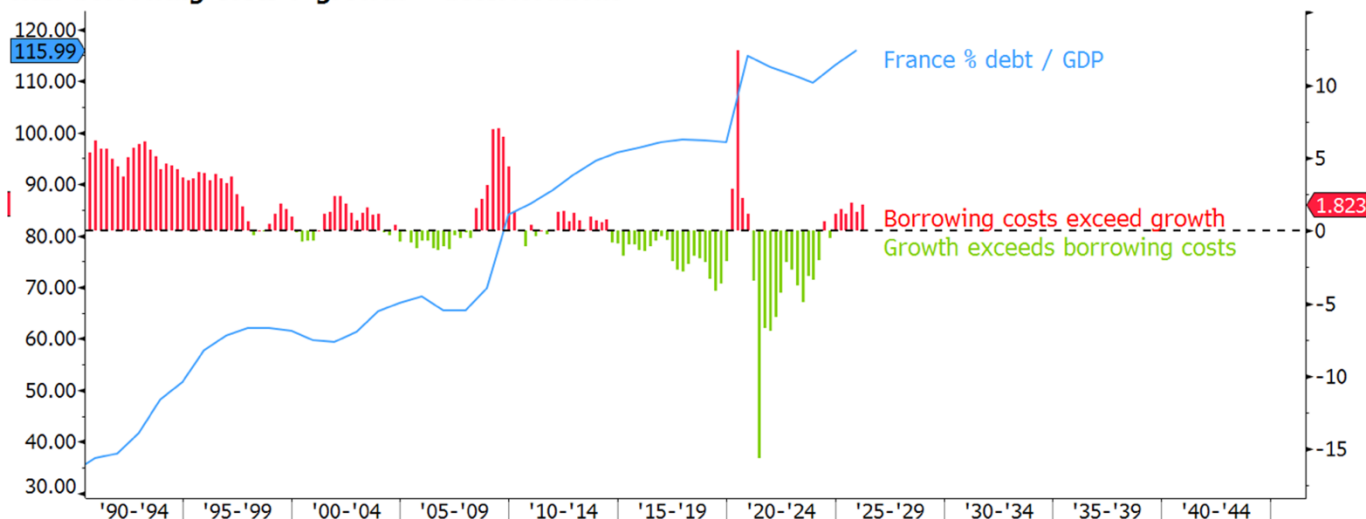
1. Growth – France is the new sick man of Europe:

The golden rule of fiscal dynamics is this: if growth exceeds the cost of borrowing, debt stabilises. This was the case during the post-GFC and post-pandemic recovery periods (green bars on the chart below). However, **if borrowing costs exceed growth, debt spirals higher. That is what France faces today:**

July 24th, 2026

The golden rule of debt dynamics...

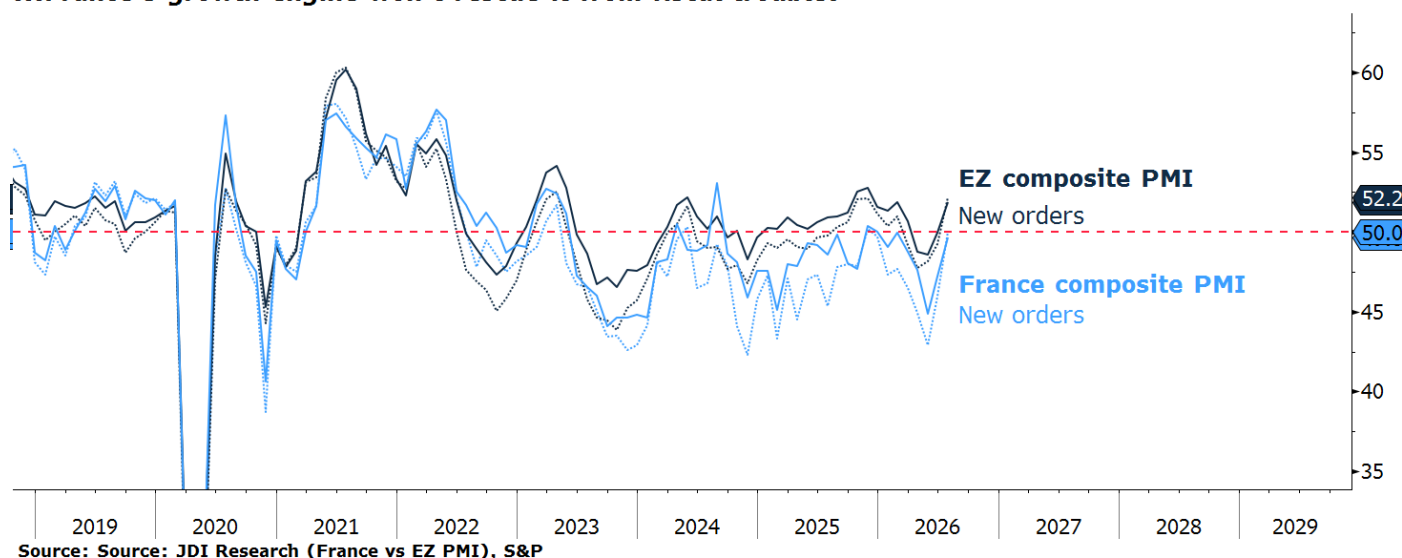
...If borrowing costs > growth = deterioration:



The government has already cut its 2026 growth forecast to 0.7% from 0.9%, its second downgrade of the year; the Bank of France is more bearish still at 0.5%. Unemployment runs at 8.1% vs the EZ average of 6.2%, with Indeed wages at 1.18% YoY vs 2.87%. Consumer confidence is undershooting, retail sales are in the red, and PMIs show the growth engine is stagnant vs the EZ:

A new sick man of Europe...

...France's growth engine won't rescue it from fiscal trouble:



July 24th, 2026

2. Austerity – France has zero political consensus for consolidation:

The 2027 budget is due in September. Finance Minister Lescure has already admitted the 5% deficit target is slipping out of reach. The government has identified €6bn of savings but now needs another €3bn of cuts or freezes, with local government over-spending adding a further €2bn risk.

The real problem is that **France has no mechanism to force fiscal discipline**. The National Assembly remains split across three blocs with no majority, leaving every budget hostage to concessions. The 2026 budget was a preview of the issue. France entered the year without an approved finance law, relying on emergency legislation to keep the state functioning. The eventual budget passed only after the government used Article 49.3 and survived no-confidence votes by conceding to opposition demands, including suspending pension reform. The fiscal saving was negligible – around €400m in 2026 – but the credibility cost to markets was huge. PM Lecornu is already warning the deficit could slip to 6.5% if no finance bill is passed in September.

France's 2027 presidential race is also heating up, and no major bloc has a clear incentive to pursue fiscal consolidation.

- **Rassemblement National (far-right):** Le Pen is back in the race and RN remains comfortably ahead in polls, campaigning on tax cuts, lower VAT, spending pledges and a reversal of pension reform.
- **Horizons (centre right):** Philippe, former PM and the leading centrist contender, knows he is competing in a populist environment where voters reject the perception of Macron-era restraint (even though in reality there was none).

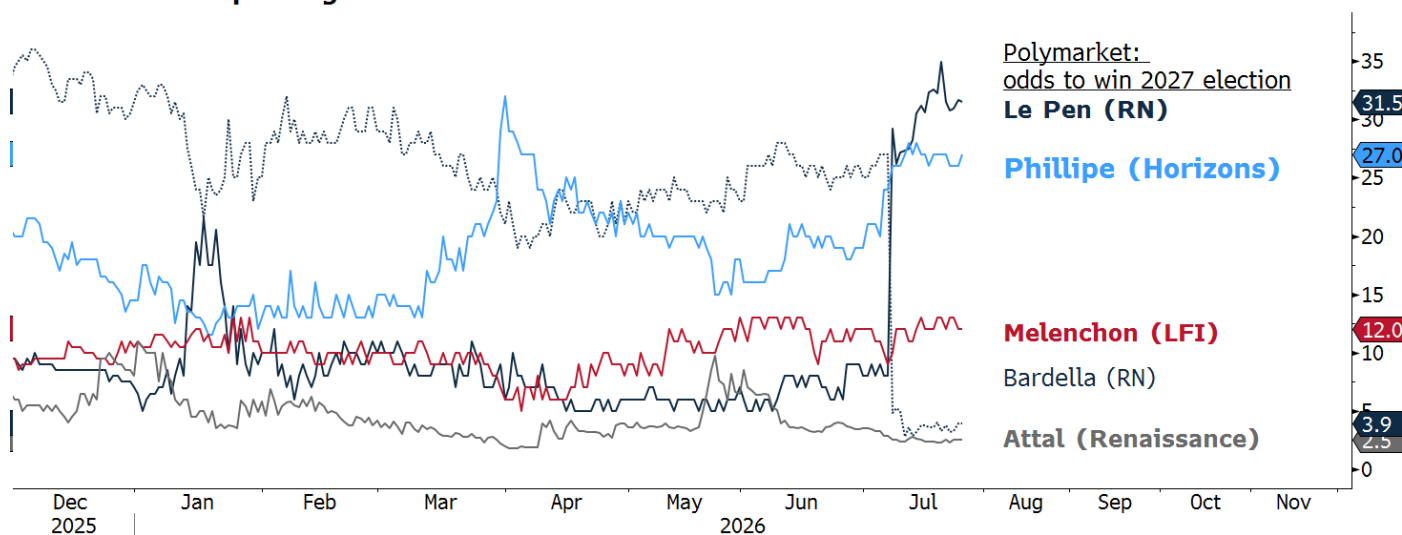
July 24th, 2026

He is under pressure to reject the centrist legacy and offer spending measures to address purchasing power, industrial support and economic insecurity.

- **Insoumise (LFI, left alliance):** Melenchon's LFI a major force but a weaker RN challenger. Its programme implies €150-180bn of additional spending, reliant on optimistic growth assumptions and wealth taxes.

Le Pen has leapt into the lead...

...But no one is pitching consolidation:



3. Financial repression – France can't control the ECB, and the ECB can't control inflation:

As a euro member, France shares one currency and one ECB monetary policy. Unlike the US or UK, it cannot cut its own interest rates or let its exchange rate depreciate to offset the contractionary hit of fiscal tightening. The 2010 EZ sovereign debt crisis showed the danger of this setup: the euro straitjacket forced Greece, Portugal and Spain into painful internal devaluations.

Now France isn't about to become Greece, but it does face the same straitjacket. Renewed tensions in Iran have loosened the anchor on medium-term inflations.

July 24th, 2026

Where oil led inflation swaps higher during the initial escalation, now swaps lead the charge – leaving the ECB little choice but to respond with hikes in coming months:

One shock too many...

...Renewed Iran tensions have loosened the anchor on ECB credibility:



The demand engine is intact, with economic surprises turning positive:

EZ demand outlook is recovering...

...Watch financial conditions for a lead on economic surprises:

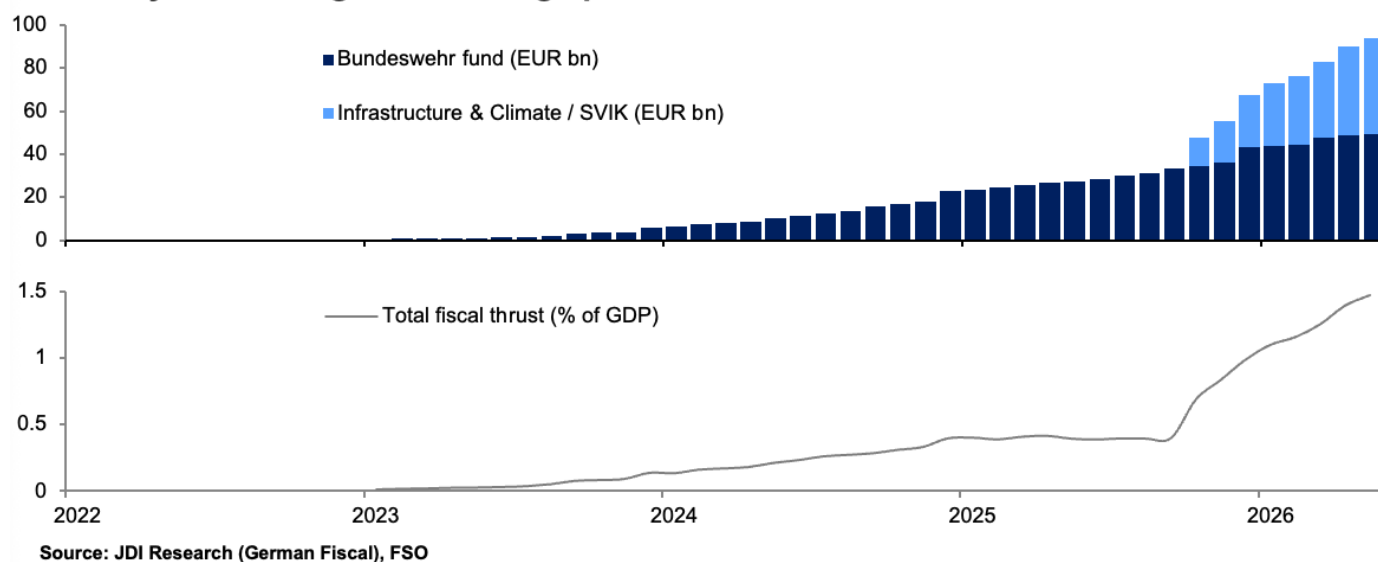


July 24th, 2026

And German fiscal is kicking into gear. It will take on €587bn in net new borrowing over 2027-2030 – raising debt-GDP 3pp to 69.5% next year and the deficit to 4.1%.

That isn't inherently destabilizing – deficit-financed investment wouldn't spook markets. The problem is how the coalition structured the defence spending exemption: a blanket carve-out from the debt brake removed all budget discipline from military procurement, so the money goes as much to price inflation as to added capability.

Germany's fiscal engine is revving up...



China has also turned into a source of inflation for Europe. CPI eased to 1% YoY in June, from 1.2%, but do not mistake that as a return of the 'China exports deflation' story. The decline was largely due to domestic forces, with a faster decline in housing.

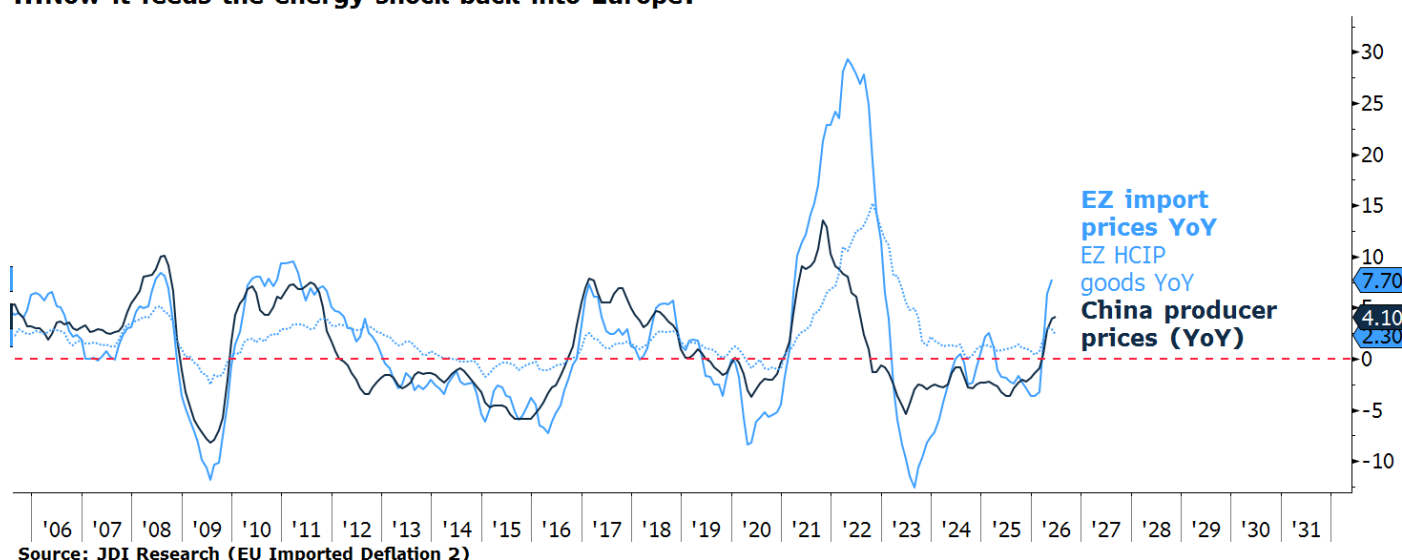
The PPI mirrored that picture: the declines were all in consumer (domestic) goods. Everything that goes into manufacturing and exports was up: production material costs rose (5.5% vs 5.2%), led by mining, raw materials, and processing. That left the headline at 4.1% YoY, up from 3.9%, and the highest since July 2022.

July 24th, 2026

China will eventually return to being a disinflationary force, especially via electricity/AI services in coming years. But the near-term picture is a manufacturing engine struggling to suppress rising input costs, and passing them onto the rest of the world – especially Europe, with exports there up 18.5% YoY in June.

China was once a source of disinflation...

...Now it feeds the energy shock back into Europe:



The ECB held rates in July, but the message from Lagarde was clear: risks are no longer balanced, and some policymakers wanted to hike. She went as far as she could to pre-commit to a September rate rise without actually doing so. All I heard was the sound of the easy-money tide going out. It leaves France high and dry with the only *conventional* answer, austerity, demand-destructive and a political no-go.

The alternative is what markets must now begin to price: the risk of *unconventional* answers. A government facing impossible fiscal arithmetic – with France's High Commission estimating the need for roughly €40bn of annual adjustment – could choose confrontation over consolidation: challenging EU fiscal rules, or even forcing investors to absorb more of the burden through partial default. These are not base-case

July 24th, 2026

outcomes, but they are no longer zero-probability events with the risk of serious populists coming to power during the 2027 elections.

This is why the pre-election period matters. After years of financial repression suppressing borrowing costs and allowing governments to postpone difficult choices, bond vigilantes are back. **Markets will have to scream loudly before French politics hears the message: the old fiscal model is broken, and something fundamental has to change.**

Stay short OATs, and batten down the hatches. Spreads with bunds are wide but, if the sovereign debt crisis taught us anything, it is that they can get much wider still.

You think it's bad now?

...The sovereign debt crisis tells you how bad it can really get:



3. Everyone is watching the UK deficit...

...They should be watching demand.

The UK is staring down a fiscal hole just as deep and dark as France's. Debt sits at 102% of GDP, the deficit runs at 4.5%, and debt-servicing costs are set to hit 3% of

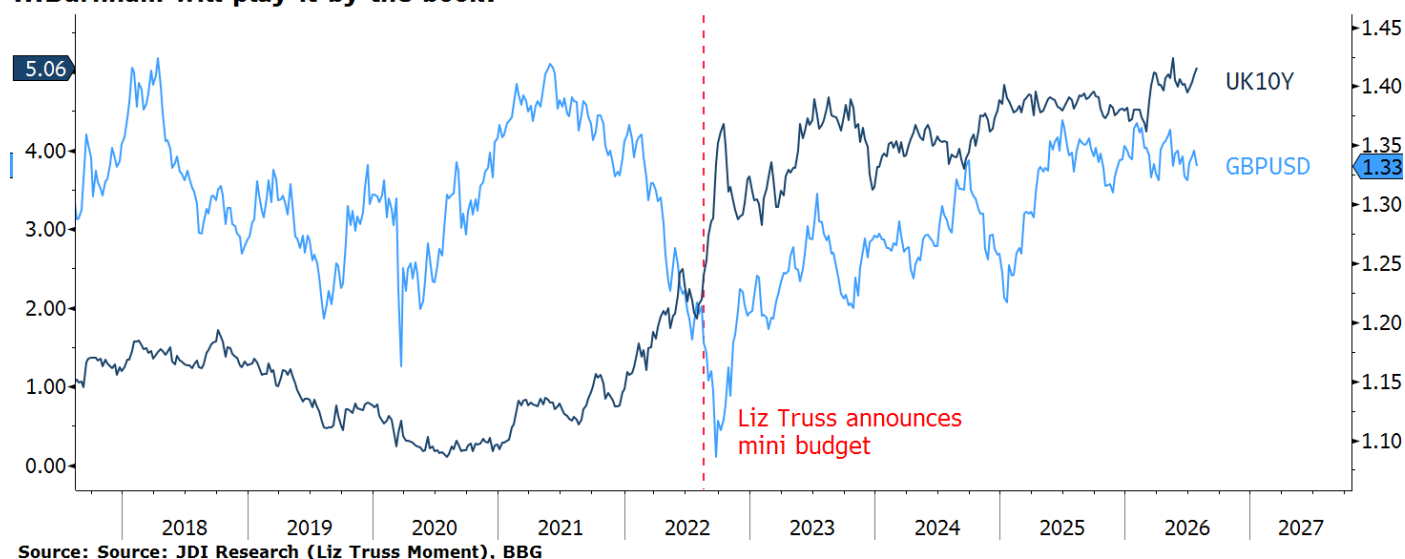
July 24th, 2026

GDP by 2030. Like all six of his predecessors this past decade, Andy Burnham walks into Number 10 boxed in on every side: anaemic growth, deteriorating demographics, public spending stretched to its limit, and a bond market that will tolerate zero largesse. For good measure, both the [OECD](#) and [OBR](#) are in his ear whispering the word 'unsustainable'.

But the UK is not France, and Burnham hasn't half the gall of Le Pen. Britain has already had its fiscal disciplining under Liz Truss, and Burnham – just like everyone else in the UK – is still cringing. Her unfunded mini-budget of 2022 caused a run on the pound, a spike in yields, and BoE intervention to stop pension funds from collapsing. It cost her the premiership in 49 days and forced her replacement to unwind almost everything she had proposed.

Liz Truss looms large...

...Burnham will play it by the book:



Burnham will not allow a repeat. His first move was to hand the Exchequer to the conservative choice, John Healey, not Ed Miliband – a clear signal he is listening to the bond market rather than the spending wing of his party.

July 24th, 2026

He also inherits wiggle room thanks to former chancellor Rachel Reeves: an additional £16bn of borrowing this autumn. He has already shown the discipline to use it sparingly, funding a cut to electricity bills by cancelling the Digital ID programme rather than reaching for the cheque book. His first speech told you exactly the line he intends to walk: stick to the fiscal rules but lean on “any flexibility within them.” These are the words of a man who knows his place.

So, don't expect any fireworks at the Autumn Budget: meagre spending offset by tax hikes, perhaps a modest bump in borrowing but nowhere near enough to undo this year's plummet in gilt supply. Planned issuance sits at £246bn versus £304bn last year. For all the political noise, the UK remains one of the few major economies still delivering fiscal consolidation.

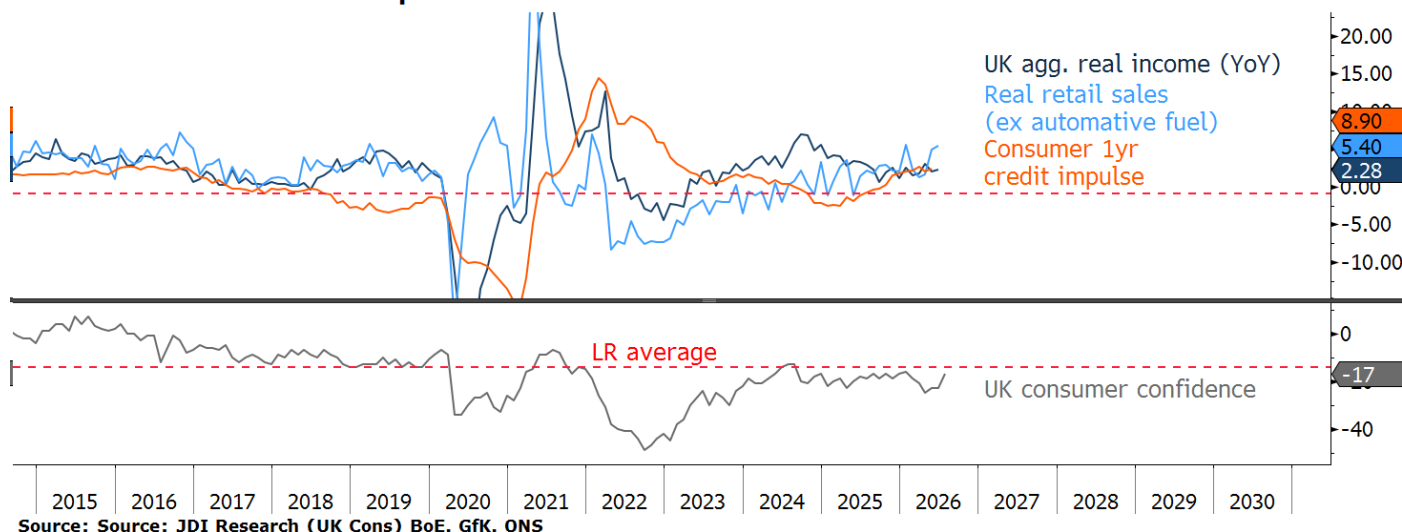
That brings us to the real story, and the reason we are long gilts. Strip away the political theatre and what remains is an economy with no pulse – and no power to support inflation.

Surface-level data would give you the impression that the UK is holding its head above water. Real income is positive, the credit impulse climbed into May, and real retail sales are running at 4.6%. The only tell that something is off is sentiment, which has fallen throughout H1 (ignore July's rebound, which was on the false peace deal).

July 24th, 2026

UK demand outlook improved through H1...

...But confidence remains depressed:



The reason is the economy's composition: propped up entirely by the public sector.

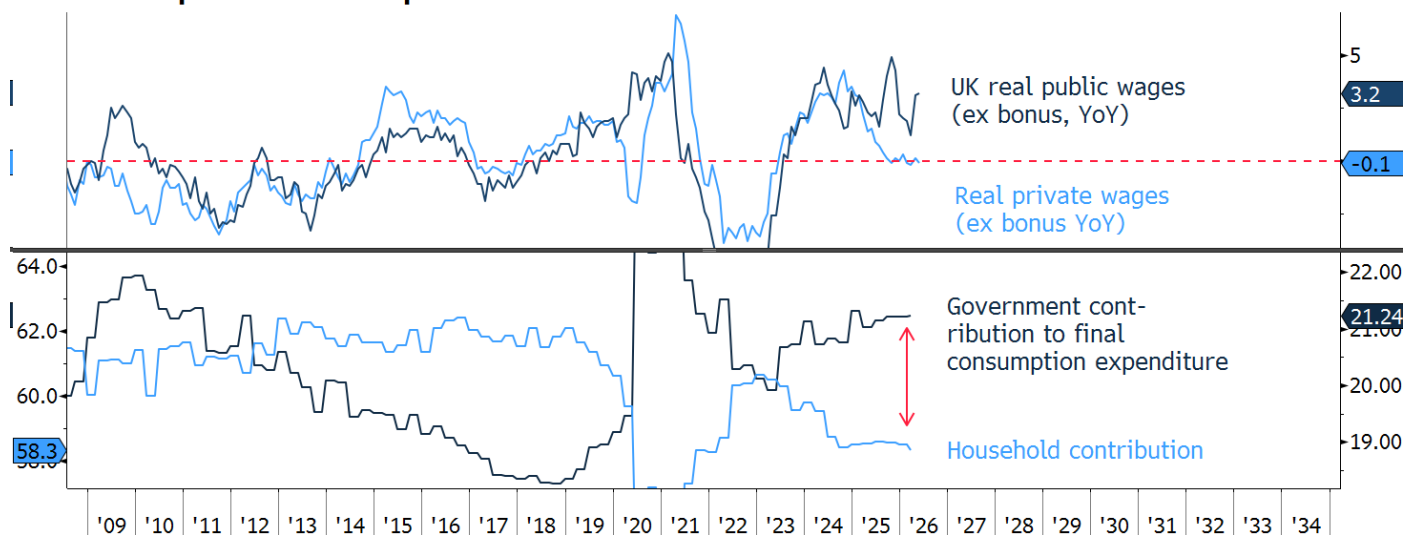
- **Government hiring now accounts for about a quarter of employment** versus a fifth before the pandemic.
- **YTD private payrolls are down 0.5%**, with the cyclically sensitive consumer services sector shedding jobs at almost a 3% annualised rate. This stacks up against public sector payrolls up 0.7%.
- **Real wage growth has collapsed into negative territory** for private-sector workers, while public wages are running at 3.2%.

The result? An economy with zero cyclical dynamism:

July 24th, 2026

The public sector is keeping the UK afloat...

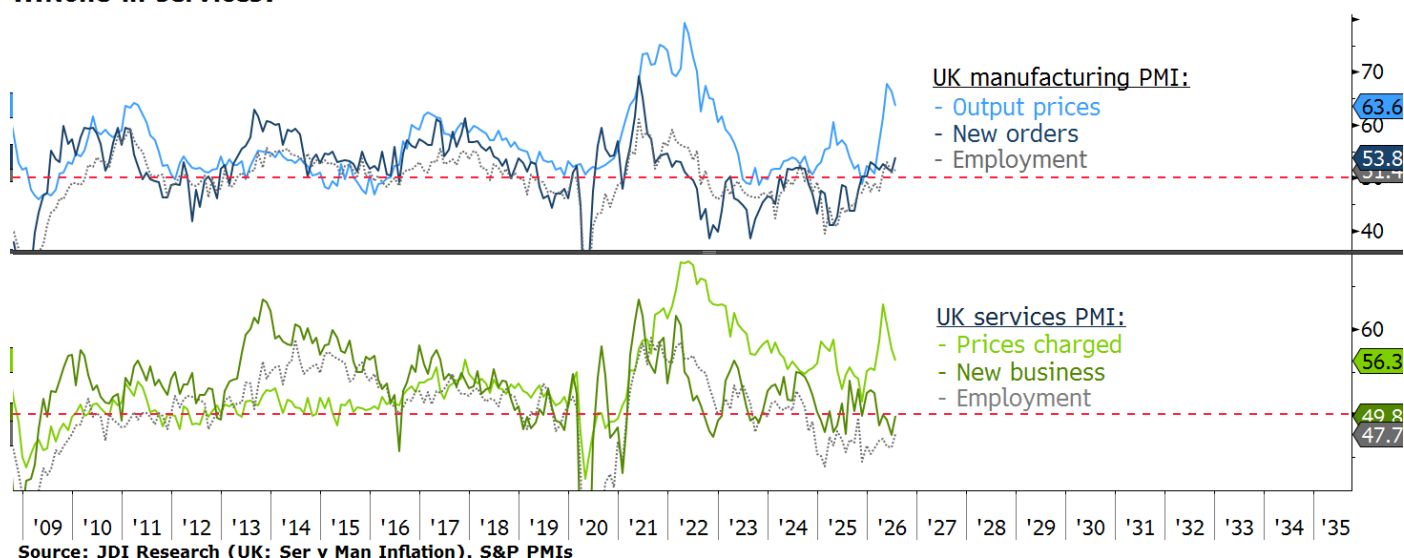
...While the private sector slips underwater:



PMIs reveal it best. **While prices have spiked, there is zero support for a sustained increase.** Manufacturing employment and new orders are barely in expansion despite the global goods upturn. The service sector – 80% of the economy – has seen employment contract for two years, with new business plunging. The plummet in price pressures is a big tell domestic demand is too weak to support second-round effects.

Some cyclical heat in manufacturing...

...None in services:

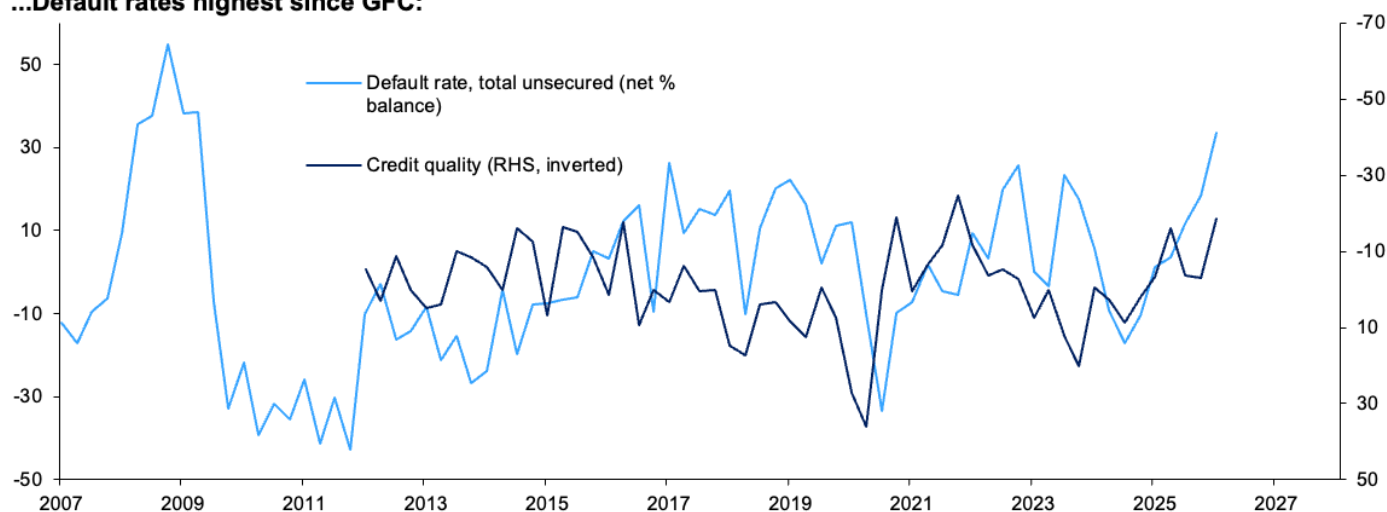


July 24th, 2026

And that rising credit impulse? Blame distress, not demand. **Unsecured default rates are climbing the quickest since the GFC**, with credit quality deteriorating. So the existing book is going bad, and the new book is being written worse:

The UK consumer is in crisis mode...

...Default rates highest since GFC:

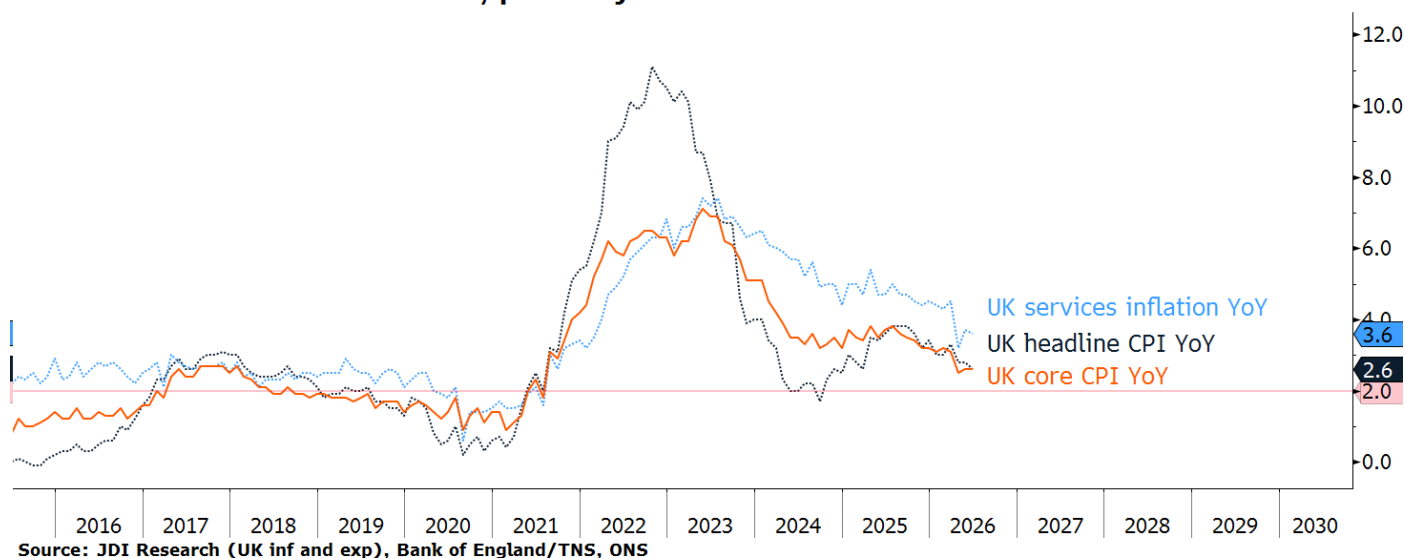


Source: JDI Research (UK Credit Crisis), BoE Lending Survey

Given that backdrop, is it any wonder pricing power is absent and the economy has shown no impact from the energy shock?

Nothing to see in UK...

...Inflation slid while missiles flew, pinned by weak services:



Source: JDI Research (UK inf and exp), Bank of England/TNS, ONS

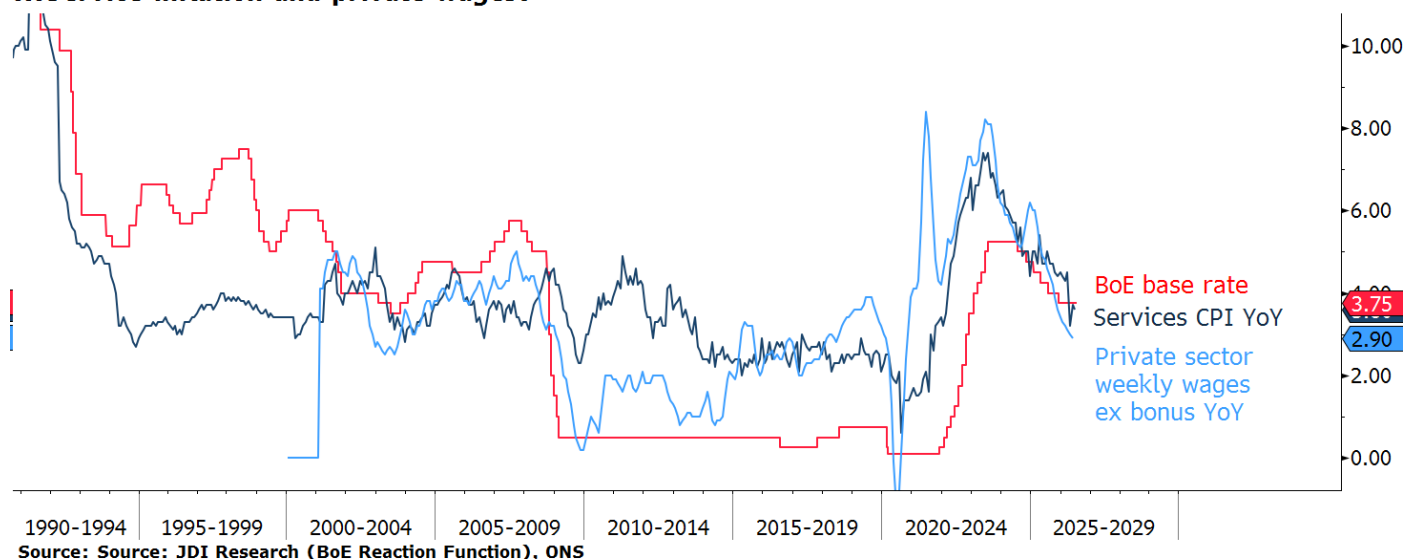
July 24th, 2026

The Bank of England meets next week, and a hold is almost certain. The market expects a hike to be the next move, especially given headline inflation could spike as energy subsidies expire this month.

But the BoE's primary concern is domestic inflationary pressures, not imported prices. That is why services inflation and private-sector wage growth carry the greatest weight in their calculations – they are labour-intensive, sticky, and better reflect underlying inflation generated within the UK's service-oriented economy. On those metrics, **the next BoE move is more likely to be a cut.**

The BoE care about two things...

...Service inflation and private wages:



I stay long 10Y gilts vs short USTs. Unlike the US and France, the UK carries political and inflation premia it doesn't warrant, and it will not be long before growth risks dominate the story.

July 24th, 2026

4. Japan is achieving reflation...

...At the cost of devaluation.

In December we issued a stark warning: Japan was verging on a currency crisis. Weak growth, a new PM determined to dial fiscal support to 11, de-anchoring inflation expectations, and a BoJ with its hands tied. All the ingredients you need for inflation-driven debasement were in place, and the yen obliged. **USDJPY is up 4.5% this year despite intervention from the Ministry of Finance. I see no reason for it to stop.**

Takaichi came to power guns blazing. The November stimulus delivered a fiscal impulse of around 1.4% of GDP. Planned food tax cuts add another 1.4% over two years. Then came June's supplementary budget to cushion the energy shock: another 0.5%. The latest Honebuto guidelines go further: committing to mobilise ¥370tn of public-private investment through 2040 and guiding an expansionary FY2027 budget.

This isn't a new trick for Japan. Stimulus has been a feature of the policy mix for decades. What's different this time is the backdrop: inflation is back, interest rates are no longer pinned at zero, and fiscal policy is being repurposed from cyclical support into a long-term industrial strategy. Takaichi wants the Ministry of Economy, Trade and Industry in the driving seat, not the Ministry of Finance, and she's getting it. Her plan is to pump the fiscal lever enough to ignite the labour market, creating a virtuous circle between wages and demand, and lifting nominal GDP above the rate of borrowing to skirt a deficit crisis.

How's it panning out? So far, perfectly.

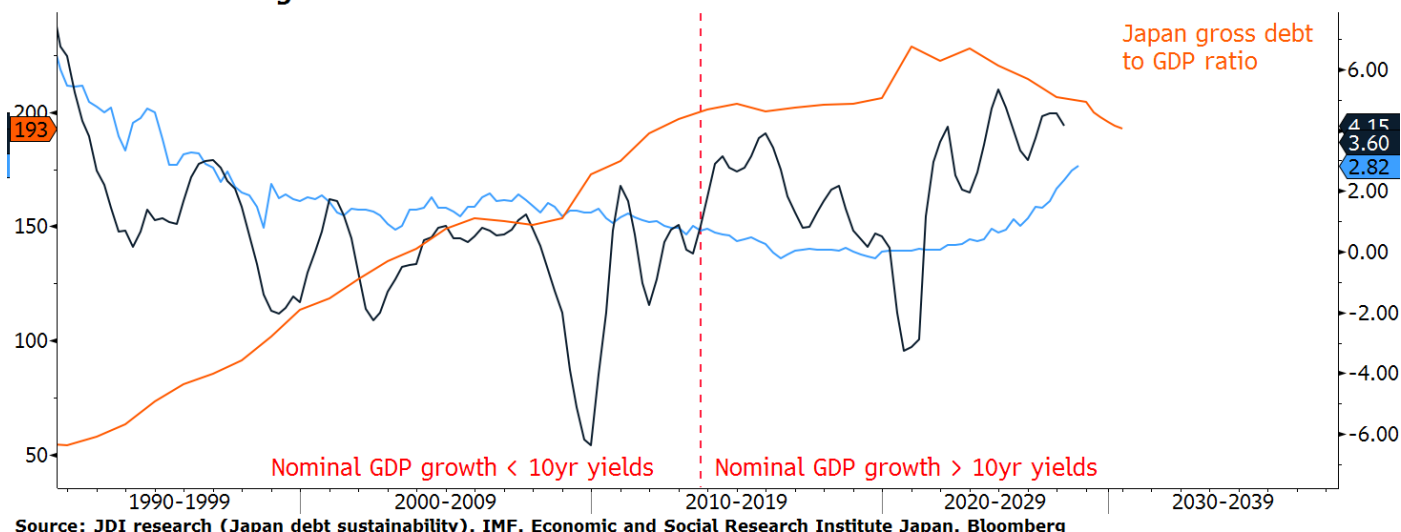
– No debt crisis in sight:

Takaichi remains on the right side of the golden rule, slowly eroding the debt burden:

July 24th, 2026

Japan is not suffering a fiscal crisis...

...Debt stabilises if growth > rates:

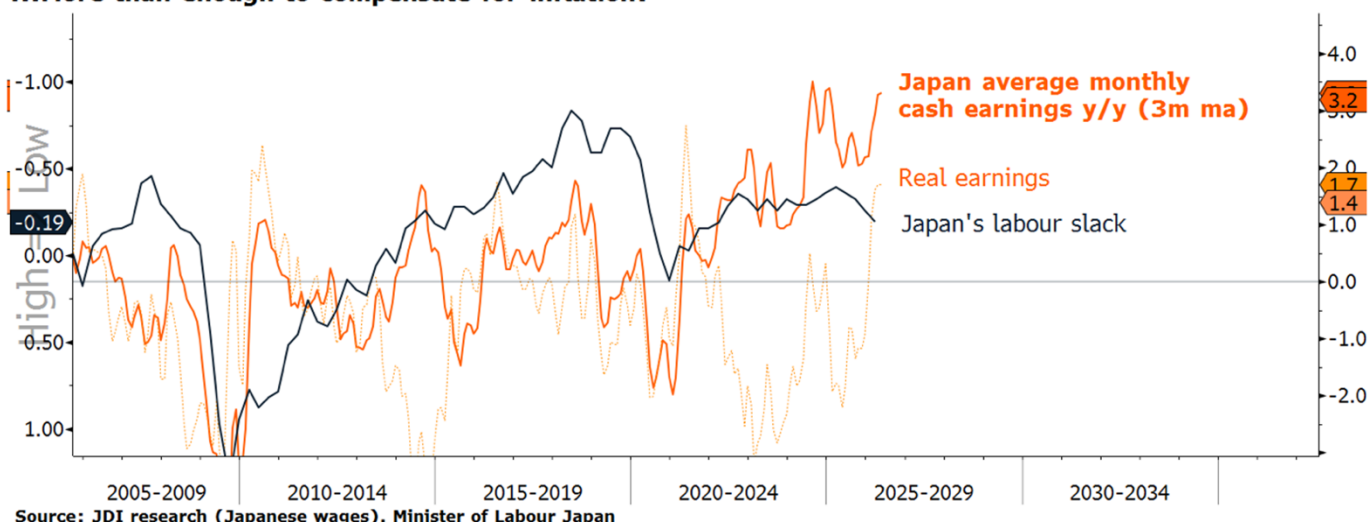


– The wage engine is purring:

Shunto negotiations landed above 5% for the third year running, with average monthly earnings climbing a full percentage point from December. Labour shortages persist, and real earnings have risen comfortably into positive territory.

Pay packets are getting bigger...

...More than enough to compensate for inflation:



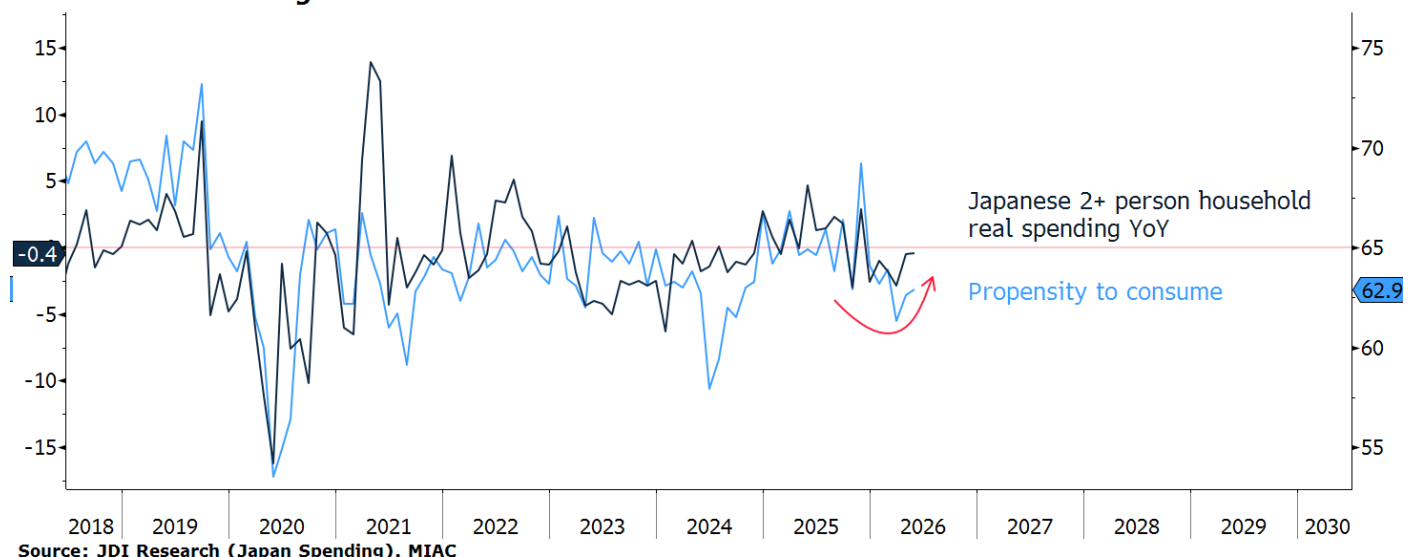
July 24th, 2026

– Demand is recovering:

Workers can thank Takaichi's aggressive energy subsidies for their purchasing power gains: capping gasoline near ¥170/litre at a cost of roughly ¥300bn per month. That has kept headline inflation below 2% since February and fostered a cautious rebound in real spending and the propensity to consume.

Signs of consumer life...

...Demand is bouncing from the Iran shock:



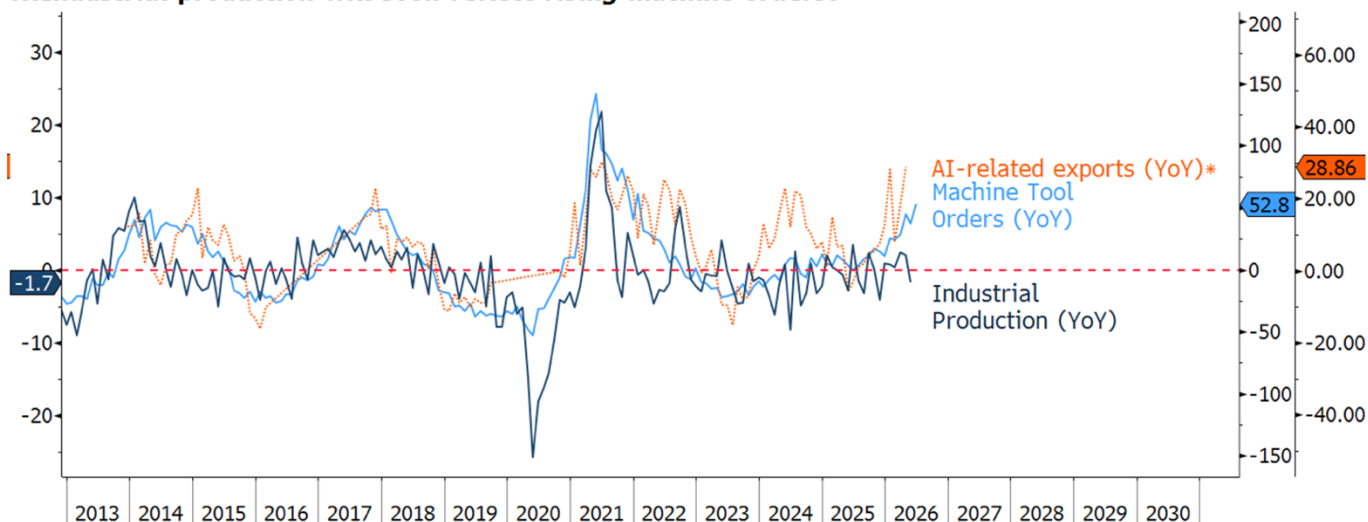
In the industrial sector, machine tool orders are rising rapidly as Japan fuels the global manufacturing upswing. If the first phase of the AI boom was about software scaling and raw GPU power, the next phase will be about energy efficiency, hardware integration, and robotics. Japan owns the foundational intellectual property and supply chains for exactly those fields.

The business mood is already at an eight-year high and capex plans are accelerating, according to the latest tankan survey. **A sustained AI-driven supercycle will finally accelerate industrial production, locking in a durable reflationary loop.**

July 24th, 2026

Japan sits at the heart of a sustained AI capex cycle...

...Industrial production will soon reflect rising machine orders:



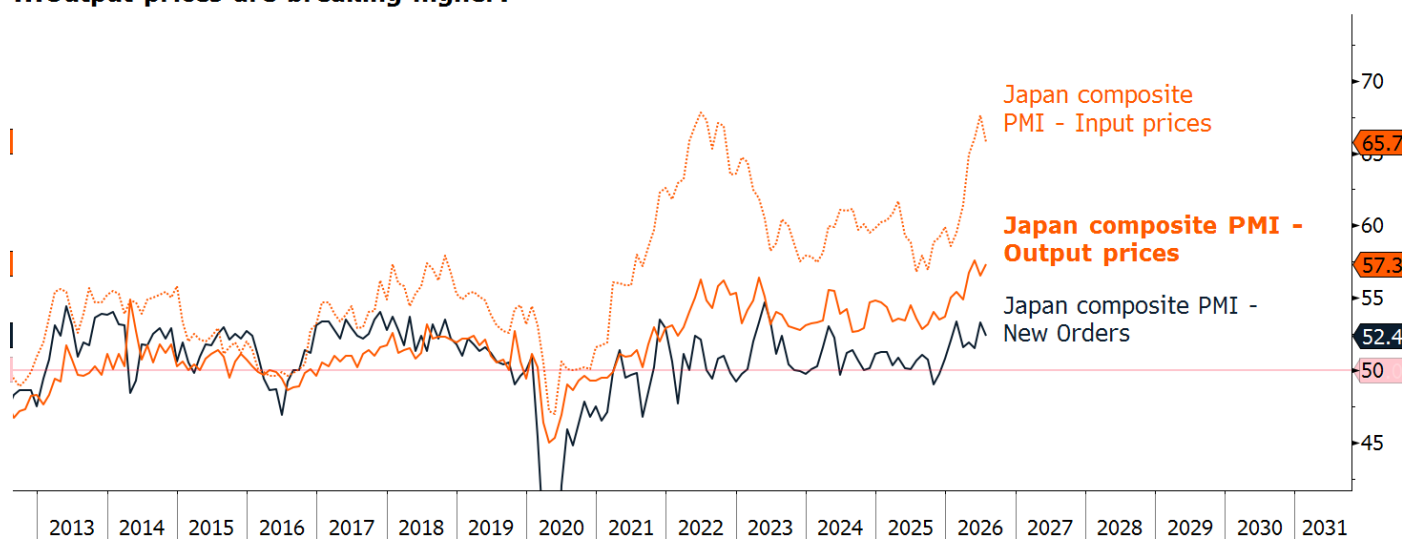
Source: JDI Research (Japan Machine Orders), *Semiconductors, integrated circuits (chips), semiconductor machinery, optical instruments, electrical

– Now the bad news: uncontrolled prices:

The downside of pumping your way to escape velocity is rampant inflation, and Takaichi's subsidies can only hold the balloon underwater for so long. Further upstream, rising demand is allowing sky-high input prices to feed through to outputs:

The first signs of runaway inflation...

...Output prices are breaking higher:



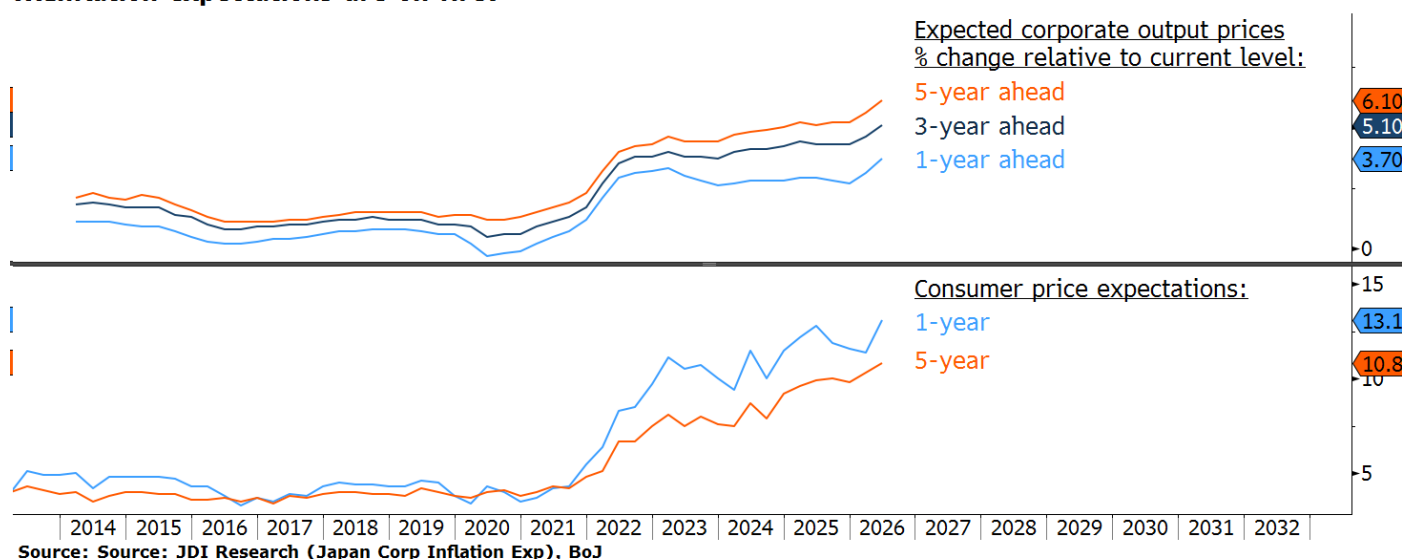
Source: JDI research (Japan PMI), S&P

July 24th, 2026

Everyone knows what happens next. The ratio of households expecting higher prices a year from now hit 90.4% in June; 5Y expectations saw a similar jump to a nearly two-decade high. Prices are expected to rise 13.1% a year from now and 10.8% in five years, while corporate inflation expectations have also soared:

BoJ has lost all credibility...

...Inflation expectations are on fire:



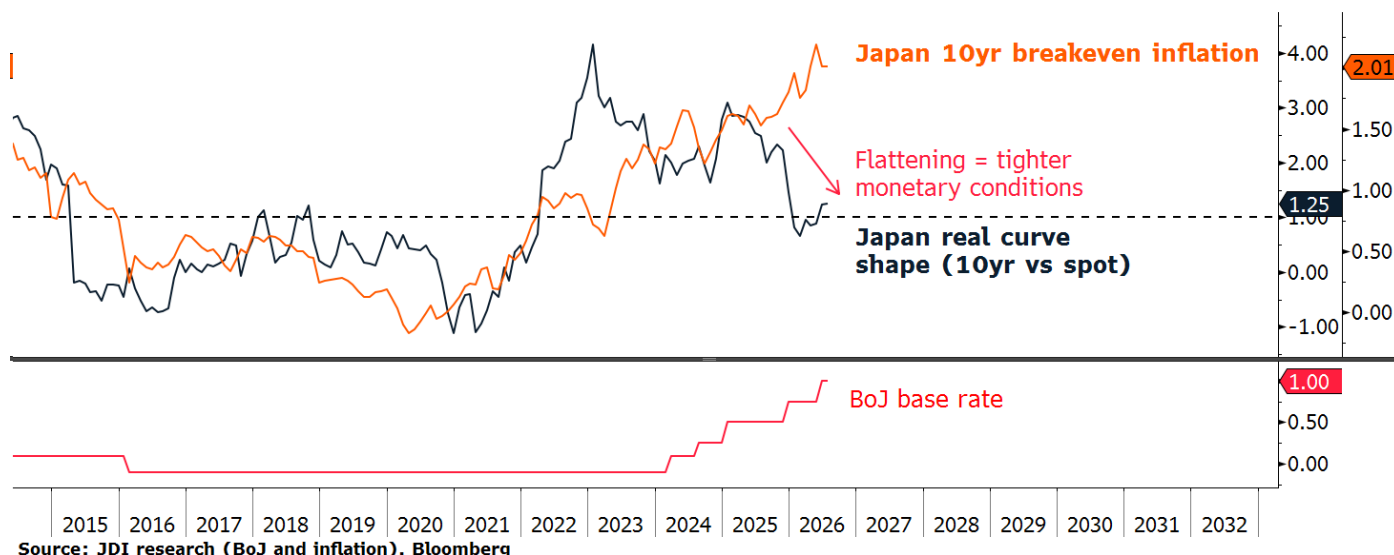
– BoJ is behind the curve, with credibility in tatters:

The BoJ has brought policy to neutral (in my book, a flat real curve). But it is using the government subsidies to justify a snail's-pace hiking cycle – pointing at a suppressed CPI gauge as though it buys them time.

In reality, it just funnels the inflation onto the government balance sheet and into the currency. **If the BoJ wants to restore stability, it needs to invert the real curve** – ideally with a jumbo hike. Instead, the best they can do is a hold in July and a bit jawboning against lazy market expectations for bi-annual rate moves. That will do nothing to stop the long end drifting higher.

July 24th, 2026

The BoJ has brought policy to neutral...
...It must turn restrictive to curb inflation breakevens:



With the BoJ stalling, Finance Minister Katayama has urged Japan's pension fund – the largest in the world – to backstop JGBs with greater domestic allocation. This is a ridiculous idea. The fund already runs domestic bonds at 26.9%, above its 25% target, inside tight $\pm 6\%$ bands. Even breaking the band with a full 10-point tilt into JGBs is only \$186bn – barely two months of MoF intervention, and trivial against Japan's ¥562tn net international investment position. What you need is for investors to keep Japan's BoP surpluses at home rather than continuing to recycle capital overseas – and there's a fat chance of that while the BoJ suppresses real yields.

That is the fundamental reason the yen bulls have it wrong. Successful reflation only lifts the yen if the BoJ lets the policy rate normalize, dragging real yields positive, collapsing the differential with the rest of DM, and pulling three decades of exported savings back home. Ironically the best thing the BoJ could do for growth would be to hike aggressively – to signal belief in the sustainability of Takanomics.

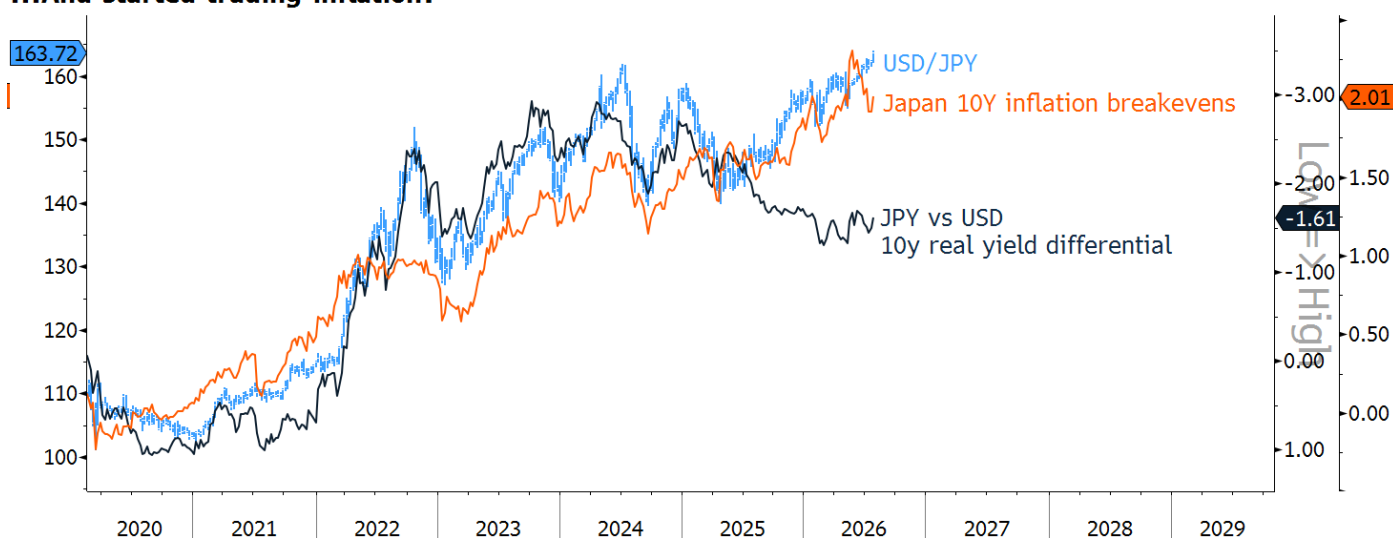
July 24th, 2026

However, after three decades of stagnation, Japan is still suffering from a crisis of confidence. Neither Takaichi nor the BoJ are willing to bet on a self-sustaining revival. They think financial repression is the only way to suppress the rate burden and stay afloat. Takaichi will take a weak yen as the price any day because it means fatter export margins, richer repatriated earnings, and cheaper domestic assets to encourage FDI.

Until policymakers find the courage to flip real rates positive, USD/JPY will continue to track inflation breakevens, and we will stay bearish the yen.

FX has stopped trading rate differentials...

...And started trading inflation:



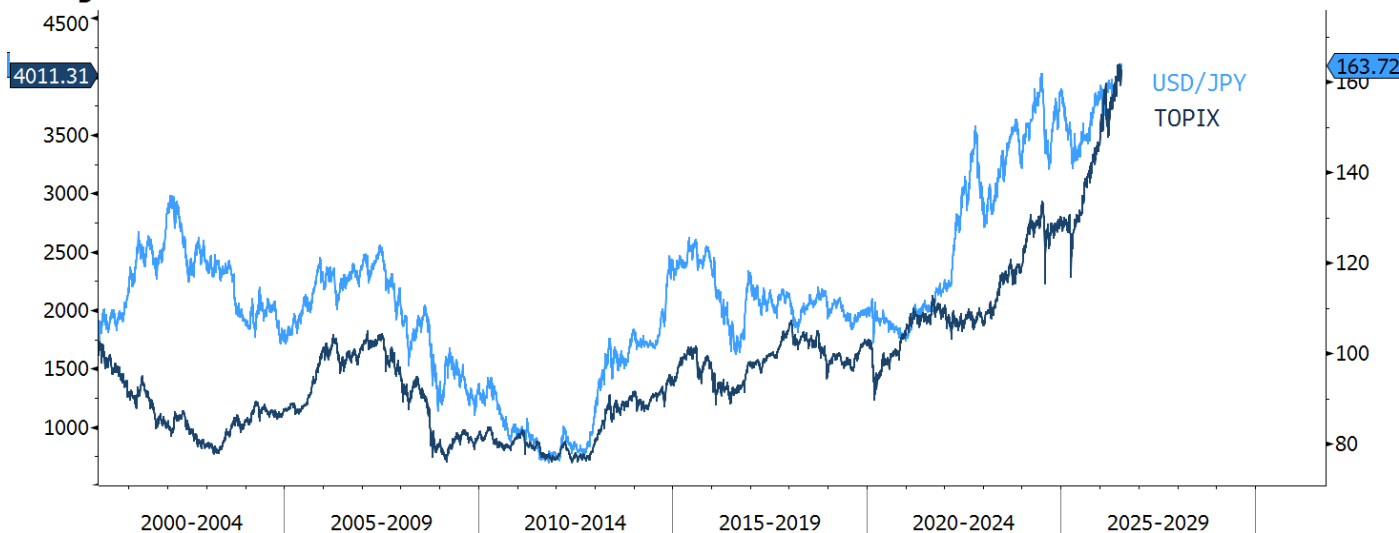
Source: JDI research (What is driving JPY?), Bloomberg

Equities are the mirror image. The same cocktail of fiscal expansion, financial repression and rising nominal growth that punishes the currency is exactly what drives nominal earnings higher. As long as the AI thematic holds, Japan is positioned to outperform – with the Topix offering a rare combination of cyclical upside and structural rerating.

July 24th, 2026

What's bad for the currency...

...Is good for the stock market:



Juliette

This report is a piece of research ("JDI research") provided by JDI Research Limited a private limited company registered in England and Wales, company number 09977951 ("JDI research limited").

JDI research is provided only to investment professionals who have been pre-qualified to receive it by JDI research limited. Each piece of JDI research is sent to one or more investment professionals who have requested that JDI research limited provides research to them. Each piece of JDI research is intended for the use of the person to whom it is addressed (the "Addressee") and the colleagues affiliated to the same entity as the Addressee as agreed in writing between the Addressee and JDI research from time to time (the "Additional Addressee(s)"), if any. If you are not the Addressee or an Additional Addressee, please delete this piece of JDI research and destroy any copies. Please also email or telephone Juliette Declercq at JDI research (+44) 7769724879 or juliette.declercq@jdiresearch.com so that JDI research can take steps to see that you do not receive further JDI research.

Under no circumstances may this research, in whole or in part, be used as input, training data, fine-tuning material, prompts, or any other form of contribution to machine learning models, artificial intelligence systems, large language models, or similar automated data-processing technologies. This prohibition applies whether for the purpose of training, developing,

July 24th, 2026

or improving such systems, or for the purpose of querying, processing, analysing, redistributing, or otherwise utilising this research through such systems for personal, professional, or commercial purposes.

JDI research is not an offer to buy or sell any specific investment. JDI research is and is intended to be a general market view. It is not and is not intended to be general or specific investment advice nor a personal recommendation concerning a specific investment, investment product or investment service. JDI research limited expects that all investment decisions taken by Addressees or Additional Addressees will be decisions made by the Addressee or Additional Addressee based on specific advice or specific recommendations made by an investment adviser or taken by an investment manager. Since JDI research limited does not provide investment advice nor carry on any other investment business it is not regulated by the U.K Financial Conduct Authority nor by any other regulator of investment business.

JDI research is based on publicly available information, obtained from sources that JDI research limited considers to be reliable. However, JDI research limited does not represent that it is accurate and it should not be relied on as such. The opinions and conclusions expressed in any piece of JDI research are current as of the date of publication and JDI research limited does not accept any responsibility to update any such opinions or conclusions in the light of developing events or circumstances. All forward looking statements, even if they appear to be presented as fact, must be treated as opinions or judgements, and JDI research limited accepts no liability or responsibility if any opinion or judgement proves to be inaccurate in whole or in part. Without limitation of the foregoing, JDI research limited shall not be not liable for any loss or damage of any kind resulting in any way from or alleged to result in any way from JDI research or the use of JDI research by any Addressee or Additional Addressee or by any other person.